

GLOSSARY

ABSOLUTE RETURN: Aims to achieve a positive return over a set timeframe and in all market conditions, although this is never guaranteed.

ACTIVE MANAGEMENT: A process whereby an investment professional actively makes buy, hold and sell decisions and aims to outperform the overall market.

ALTERNATIVES: An alternative is a financial asset that does not fall into one of the conventional investment categories, such as equities or bonds.

ASSET(S): In this context, investments held in a portfolio, for example stocks, bonds, property and cash.

ASSET ALLOCATION: An investment strategy that aims to balance risk and reward by apportioning a portfolio's assets according to an individual's goals, risk tolerance, and investment horizon.

ASSET CLASS: A grouping of investments that exhibit similar characteristics and are subject to the same laws and regulations.

ASSET FINANCING: Asset financing refers to the use of a company's assets, including short-term investments, inventory and accounts receivable, to borrow money. The borrowing company must provide the lender with a security interest in the assets.

BASIC MATERIALS: The sector of companies involved in the discovery, development and processing of raw materials. The sector includes the mining and refining of metals, chemical products and forestry products.

BENCHMARK: A baseline for comparison against which a fund can be measured.

BOND(S): A loan of money by an investor to a company or government for a stated period of time in exchange for a fixed interest rate payment and the repayment of the initial amount at its conclusion.

CAPITAL: Resources or money used or available for use in the production of more wealth.

CAPITAL GROWTH: When the current value of an investment is greater than the initial amount invested.

COLLATERISED LOAN OBLIGATION (CLO): A CLO is a collection of loans (debt) ranked below investment grade and sometimes referred to as 'junk grade'. This means they carry relatively high levels of investment

risk compared to some other fixed income assets but can, in some cases, provide higher returns. They are usually bank loans to businesses that are initially sold to a CLO manager and consolidated into bundles. To fund the purchase of new debt, the CLO manager sells stakes in these bundles to outside investors. These sales rarely deliver a cash payment and instead tend to offer ownership (or equity) in the CLO itself if sold.

CONSUMER DISCRETIONARY: Goods and services considered non-essential by consumers but desirable if their income is sufficient to purchase them.

CONSUMER STAPLES: Goods and services that people are unable or unwilling to cut out of their budgets regardless of their financial situation.

CONVERTIBLE(S)/BOND(S): A convertible bond is a fixed income debt security that yields interest payments, but can be converted into a predetermined number of equity shares. The conversion from the bond to stock can be done at certain times during the bond's life and is usually at the discretion of the bondholder.

CURRENCY HEDGING: Currency hedging is an attempt to reduce the effects of currency movements on investment performance.

DERIVATIVES: Financial contracts, set between two or more parties, that derive their value from an underlying asset, group of assets, or benchmark.

DIRECT LENDING: Direct lending is a direct loan from a lender (that is not a bank) to a company. These do not involve an intermediary, such as an investment bank, a broker or a private equity firm. In direct lending, the borrowers are usually relatively small or mid-sized companies, also called mid-market or small and medium enterprises, rather than large, publicly listed companies.

DIVERSIFIED/DIVERSIFICATION: Investing in a variety of companies or financial instruments, which typically perform differently from one another.

DIVIDEND(S): A sum paid regularly by a company to its investors as a reward for holding their shares.